CONGRESSIONAL BUDGET OFFICE
U.S. Congress
Washington, DC 20515

Phillip L. Swagel, Director

August 4, 2025

Honorable Jeff Merkley
Ranking Member
Committee on the Budget
United States Senate
Washington, DC 20510

Re: Effects on Deficits and the Debt of Public Law 119-21 and of Making Certain Tax Policies in the Act Permanent

Dear Ranking Member Merkley:

You have asked for information about how federal deficits and debt held by the public would be affected by Public Law 119-21, an act to provide for reconciliation pursuant to title II of H. Con. Res. 14, and then additionally by making permanent 10 tax provisions that are temporary in that law.

The Congressional Budget Office and the staff of the Joint Committee on Taxation (JCT) estimate that over the 2025–2034 period deficits will increase by $3.4 trillion for the legislation as enacted, excluding any macroeconomic or debt-service effects (see Table 1).[1]

CBO estimates that the additional debt-service costs under the legislation as enacted will total $718 billion over the 10-year period. That change will increase the cumulative effect on the deficit to $4.1 trillion. As a result, and net of any changes in borrowing for federal credit programs, the agency estimates that the legislation will increase debt held by the public at the end of 2034 by 9.5 percentage points relative to CBO's January 2025 baseline budgetary projections of gross domestic product (GDP). Other factors, such

1. Congressional Budget Office, estimated budgetary effects of Public Law 119-21, to provide for reconciliation pursuant to title II of H. Con. Res 14, relative to CBO's January 2025 baseline (July 21, 2025), www.cbo.gov/publication/61570.

as administrative actions affecting tariffs and immigration, also have affected deficits and debt since January 2025 and will be reflected in CBO's next baseline.

P.L. 119-21 made numerous changes to tax provisions and spending programs. Although many of the changes are permanent, some are temporary.

You have asked in particular about the additional effects on deficits and the debt of permanently enacting the act's temporary tax provisions. JCT has estimated that making those 10 provisions permanent would increase primary deficits over the 2025–2034 period by an additional $0.8 trillion (see Table 2).

CBO estimates that if those provisions were made permanent, overall debt-service costs would total $789 billion over the 10-year period. That change would increase the cumulative effect on the deficit to $5.0 trillion.

As a result, and net of any changes in borrowing for federal credit programs, CBO estimates that debt held by the public at the end of 2034 would increase by 11.5 percentage points relative to the agency's January 2025 projection of GDP.

CBO's estimate of the additional amounts that the Treasury would borrow each year under P.L. 119-21 is determined primarily by the budget deficit.[2] However, other factors, driven mostly by federal credit programs that are not directly included in budget totals, also affect the need to borrow from the public. As required by the Federal Credit Reform Act of 1990, the deficit reflects the net subsidy costs (the expected lifetime costs to the government for loans or loan guarantees) rather than annual cash flows. The estimated increase in debt service and debt held by the public accounts for those changes in cash flows.

2. For more information on how debt-service effects are calculated, see Congressional Budget Office, *How Changes in Revenues and Outlays Would Affect Debt Service, Deficits, and Debt* (interactive, March 2025), www.cbo.gov/publication/60835. CBO adjusted the estimate of the debt-service costs from the calculations produced by the interactive to account for the limited time remaining before the end of the current fiscal year.

I hope this information is useful to you. Please contact me if you have further questions.

Sincerely,

Phillip L. Swagel
Director

cc: Honorable Lindsey Graham
Chairman
Senate Committee on the Budget

Table 1.
Estimated Budgetary Effects of Public Law 119-21

	By Fiscal Year, Billions of Dollars										
	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2025-2034
	Increases or Decreases (-) in the Deficit										
Change in the Deficit From P.L. 119-21	-21	487	602	555	450	325	250	225	251	268	3,394
Changes From Debt Service	*	14	34	55	73	88	99	108	118	129	718
Total Changes	**-21**	**501**	**636**	**610**	**524**	**413**	**349**	**333**	**369**	**397**	**4,113**

Components may not sum to totals because of rounding.
* = between zero and $500 million.

Sources: Congressional Budget Office; staff of the Joint Committee on Taxation.

The Congressional Budget Act of 1974, as amended, stipulates that revenue estimates provided by the staff of the Joint Committee on Taxation (JCT) will be the official estimates for all tax legislation considered by the Congress. As such, CBO incorporates those estimates into its cost estimates of the effects of legislation. The estimates for the revenue provisions of P.L. 119-21 were provided by JCT and are preliminary.

The data underlying this table are available at www.cbo.gov/publication/61466#data.

Table 2.

Estimated Budgetary Effects of Public Law 119-21 and of Making Certain Tax Provisions in the Act Permanent

	By Fiscal Year, Billions of Dollars										
	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2025-2034
	Increases or Decreases (-) in the Deficit										
Change in the Deficit From P.L. 119-21	-21	487	602	555	450	325	250	225	251	268	3,394
Change From Extending Certain Tax Provisions *(JCT Estimates)*											
Sec. 70103 Termination of Deduction for Personal Exemptions Other Than Temporary Senior Deduction	0	0	0	0	9	24	24	24	24	24	129
Sec. 70120 Limitation on Individual Deductions for Certain State and Local Taxes, etc.	0	0	0	0	0	17	39	35	36	37	165
Sec. 70201 No Tax on Tips	0	0	0	0	3	9	9	10	10	11	52
Sec. 70202 No Tax on Overtime	0	0	0	0	15	24	24	24	25	25	137
Sec. 70203 No Tax on Car Loan Interest	0	0	0	0	6	11	12	12	12	13	66
Sec. 70204 Trump Accounts and Contribution Pilot Program	0	0	0	0	4	4	4	4	4	4	22
Sec. 70307 Special Depreciation Allowance for Qualified Production Property	0	0	0	0	5	15	29	36	38	39	163
Sec. 70434 Treatment of Certain Qualified Sound Recording Productions	0	0	0	0	*	*	*	*	*	*	1
Sec. 70521 Extension and Modification of Clean Fuel Production Credit	0	0	0	0	0	5	10	12	13	13	53
Sec. 70522 Restrictions on Carbon Oxide Sequestration Credit	0	0	0	0	0	0	0	0	0	0	0
Total Change From Extending Certain Tax Provisions *(JCT Estimates)*	0	0	0	0	42	108	151	157	163	166	787
Change in the Deficit From P.L. 119-21 and Extending Certain Tax Provisions	-21	487	602	555	493	433	402	382	414	434	4,182
Changes From Debt Service	*	14	34	55	74	91	107	122	138	155	789
Total Changes	**-21**	**501**	**636**	**610**	**566**	**524**	**508**	**504**	**551**	**589**	**4,971**

Components may not sum to totals because of rounding.

* = between zero and $500 million.

Sources: Congressional Budget Office; staff of the Joint Committee on Taxation.

The Congressional Budget Act of 1974, as amended, stipulates that revenue estimates provided by the staff of the Joint Committee on Taxation (JCT) will be the official estimates for all tax legislation considered by the Congress. As such, CBO incorporates those estimates into its cost estimates of the effects of legislation. The estimates for the revenue provisions of P.L. 119-21 were provided by JCT and are preliminary.

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